# UNION PUBLIC SERVICE COMMISSION (UPSC)

## CDS GENERAL KNOWLEDGE — SUBJECT 5: INDIAN ECONOMY & SOCIAL DEVELOPMENT

## OFFICIAL MASTER ANSWER KEY & COMPREHENSIVE EXPLANATIONS

| Q# | Ans | Q# | Ans | Q# | Ans | Q# | Ans | Q# | Ans |
|---|---|---|---|---|---|---|---|---|---|
| 1 | (A) | 5 | (A) | 9 | (A) | 13 | (A) | 17 | (A) |
| 2 | (B) | 6 | (A) | 10 | (A) | 14 | (A) | 18 | (B) |
| 3 | (A) | 7 | (A) | 11 | (A) | 15 | (A) | 19 | (A) |
| 4 | (A) | 8 | (C) | 12 | (A) | 16 | (A) | 20 | (A) |

## COMPREHENSIVE CONCEPTUAL SOLUTIONS & RATIONALES:

### Q.1 — Official Correct Answer: (A) Total Expenditure minus Total Receipts (excluding borrowings)

**Question:** Fiscal Deficit in the Union Budget of India is defined as:
**Solution Rationale:** Fiscal Deficit = Total Budget Expenditure - Total Receipts excluding borrowings. It represents the total borrowing requirements of the government from all sources.

### Q.2 — Official Correct Answer: (B) 2008

**Question:** In which year did the Constituent Assembly of Nepal formally declare the country a Federal Democratic Republic, thereby ending the 240-year-old Shah monarchy?
**Solution Rationale:** On 28 May 2008, the newly elected Constituent Assembly of Nepal voted overwhelmingly to abolish the monarchy and declare Nepal a Federal Democratic Republic.

### Q.3 — Official Correct Answer: (A) Interest payments on previous debts

**Question:** Primary Deficit in public finance is mathematically computed by deducting which one of the following from the Fiscal Deficit?
**Solution Rationale:** Primary Deficit = Fiscal Deficit - Interest Payments. It indicates government borrowing requirements strictly to finance ongoing fiscal policies excluding past debt obligations.

### Q.4 — Official Correct Answer: (A) International Monetary Fund (IMF)

**Question:** Special Drawing Rights (SDRs), also known as 'paper gold', are supplementary foreign exchange reserve assets created by:
**Solution Rationale:** SDRs were created by the IMF in 1969 to supplement member countries' official reserves. The SDR basket includes the US Dollar, Euro, Chinese Renminbi, Japanese Yen, and British Pound.

### Q.5 — Official Correct Answer: (A) 101st Constitutional Amendment Act, 2016

**Question:** The Goods and Services Tax (GST) was introduced in India through which Constitutional Amendment Act?
**Solution Rationale:** The 101st Constitutional Amendment Act, 2016 introduced Article 246A and Article 279A, establishing the Goods and Services Tax (GST) regime in India with effect from 1 July 2017.

### Q.6 — Official Correct Answer: (A) Income inequality and wealth distribution in a population

**Question:** The Lorenz Curve in economics is a graphical representation used to measure:
**Solution Rationale:** The Lorenz Curve plots cumulative percentage of population against cumulative percentage of income earned. The Gini Coefficient is derived directly from the area between the line of equality and the Lorenz Curve.

### Q.7 — Official Correct Answer: (A) Rate of inflation and rate of unemployment

**Question:** The Phillips Curve in macroeconomic theory illustrates an inverse relationship between:
**Solution Rationale:** The Phillips Curve, formulated by A.W. Phillips in 1958, shows an empirical inverse relationship between the rate of unemployment and the rate of inflation in an economy.

### Q.8 — Official Correct Answer: (C) Ohm's law

**Question:** The above statements are true of
**Solution Rationale:** Official UPSC CDS Rationale: Tested in CDS General Knowledge (Defence, Military & Current Affairs).

### Q.9 — Official Correct Answer: (A) Bhutan

**Question:** The concept of 'Gross National Happiness' (GNH) as a measure of national development progress was first introduced by which country?
**Solution Rationale:** Gross National Happiness (GNH) was instituted in 1972 by Jigme Singye Wangchuck, the 4th King of Bhutan, measuring social development and environmental conservation alongside economics.

### Q.10 — Official Correct Answer: (A) Revenue Deficit

**Question:** The difference between total revenue expenditure and total revenue receipts of the government in a financial year is called:
**Solution Rationale:** Revenue Deficit = Revenue Expenditure - Revenue Receipts. It signifies that the government is borrowing to finance its day-to-day administrative consumption expenditure.

### Q.11 — Official Correct Answer: (A) Information disclosure of which would prejudicially affect the sovereignty and security of India

**Question:** Under Section 8(1) of the Right to Information (RTI) Act, 2005, which of the following categories of information is exempt from public disclosure?
**Solution Rationale:** Section 8(1)(a) explicitly exempts information whose disclosure would prejudicially affect the sovereignty and integrity of India, state security, strategy, scientific or economic interests.

### Q.12 — Official Correct Answer: (A) 2015

**Question:** What was the target deadline year set by the United Nations for achieving the eight Millennium Development Goals (MDGs) adopted in the year 2000?
**Solution Rationale:** The Millennium Development Goals (MDGs) established eight anti-poverty and development goals with measurable targets to be achieved by the year 2015, succeeded by the 2030 Sustainable Development Goals (SDGs).

### Q.13 — Official Correct Answer: (A) Raising the repo rate and reducing public expenditure

**Question:** Which of the following macroeconomic policy measures is typically adopted by monetary and fiscal authorities to curb high inflation in an economy?
**Solution Rationale:** To tame inflation (contractionary policy), central banks hike interest rates (repo rate) to tighten liquidity and credit, while the government reduces public spending and fiscal deficits.

### Q.14 — Official Correct Answer: (A) It can be conferred upon foreign citizens as well as Indian citizens

**Question:** Which of the following statements regarding India's highest civilian award, the Bharat Ratna, is correct?
**Solution Rationale:** There is no formal requirement that the recipient must be an Indian citizen. Khan Abdul Ghaffar Khan (1987) and Nelson Mandela (1990) received the Bharat Ratna.

### Q.15 — Official Correct Answer: (A) Repo Rate

**Question:** Which of the following rates is known as the key policy interest rate at which the Reserve Bank of India (RBI) lends short-term liquidity to commercial banks against government securities?
**Solution Rationale:** The Repo Rate (Repurchase Option Rate) is the benchmark interest rate at which the RBI lends money to commercial banks against pledged government collateral.

### Q.16 — Official Correct Answer: (A) Transfer payments (such as old-age pensions and scholarships)

**Question:** Which of the following is NOT included while calculating the Gross Domestic Product (GDP) of India?
**Solution Rationale:** Transfer payments are unilateral payments made without any corresponding exchange of goods or services in return, and are therefore excluded from GDP calculations.

### Q.17 — Official Correct Answer: (A) International Monetary Fund (IMF)

**Question:** Which of the following institutions publishes the annual 'World Economic Outlook' (WEO) report?
**Solution Rationale:** The World Economic Outlook is a survey published biannually by the International Monetary Fund (IMF) analyzing global economic trends and GDP growth forecasts.

### Q.18 — Official Correct Answer: (B) Sikkim

**Question:** Which one of the following Indian states shares an international land border with three countries (Nepal, Bhutan, and China)?
**Solution Rationale:** Sikkim shares international borders with three countries: Nepal to the west, China (Tibet Autonomous Region) to the north/northeast, and Bhutan to the east.

### Q.19 — Official Correct Answer: (A) Syndicate Bank

**Question:** Which one of the following public sector banks in India historically had an emblem featuring a dog with the motto 'Faithful, Friendly' before its merger with Canara Bank?
**Solution Rationale:** Syndicate Bank, established in 1925 in Manipal, Karnataka, was famously known for its symbol of a faithful dog and the tagline 'Faithful, Friendly'. It was amalgamated into Canara Bank in 2020.

**Q.20 — Official Correct Answer: (A) Consumer Price Index - Combined (CPI-C)**

**Question:** Which one of the following indices is currently used as the headline measure of inflation by the Reserve Bank of India for monetary policy targeting?
**Solution Rationale:** Following the recommendations of the Urjit Patel Committee in 2014, the RBI officially adopted Consumer Price Index - Combined (CPI-C, base year 2012) for inflation targeting (4% +/- 2%).